All solutions that will work in the real world have to embrace the fact that the U.S. is not as rich as Americans think it is. Most political solutions will be in denial of that fact. The relevant question is: Which difficult choice do you want to make?

Did you know what you wanted to do when you were in university?

Yes, become a trader. Although looking back at it, at the time, I didn't quite know what that meant.

What was your first job after graduating?

I got a job as a junior trader at Citigroup in the foreign exchange department. My first week at work was the week when the pound was kicked out of the ERM.

The Exchange Rate Mechanism (ERM), which was operative in the decades prior to the implementation of the euro, linked the exchange rates of European currencies within defined price bands. The U.K. was forced to withdraw from the ERM in 1992 when the pound declined below the low end of its band.

The week when George Soros in the popular vernacular "broke the Bank of England"?

Yes. As you may know, I worked for George Soros before starting my own fund. My favorite George Soros story concerns an interview with Chancellor Norman Lamont, who stated that the Bank of England had £10 billion in reserve to defend the pound against speculators. George apparently was reading an account of this interview in the next morning's paper and thought to himself, "£10 billion. What a remarkable coincidence!—that's exactly the size of the position I was thinking of taking."

At the time, I remember explaining to the head of the trading floor why the pound would not leave the ERM. I argued that it would be political suicide for the conservative government to drop out of the ERM; hence they would make sure it didn't happen.

What was your boss's response?

He just smiled and nodded at me. He said, "Okay, we'll see." About three hours later, the pound crashed out of the European ERM. I felt like a